Annex I. Debt Sustainability Analysis[1]

1. **Debt is in distress but prospects are improving.** This Debt Sustainability Analysis (DSA) assessment incorporates the already agreed debt restructurings into the baseline, which includes the restructuring underway with the largest block of private creditors holding the U.S. and E.C. dollar commercial bonds in 2015 (see staff report ¶7). The DSA does not assume any debt restructuring on Paris Club debt, or other bilateral or domestic debt under restructuring negotiations. Compared to the previous DSA, the economic outlook has improved significantly, underpinned by higher than anticipated growth in 2014 and 2015. In the medium term, growth is expected to converge to its potential.

2. **The progress achieved with debt restructuring marks a critical milestone in the restoration of debt sustainability**. After peaking at about 106.7 percent of GDP in 2013, public debt declined to 100.5 percent of GDP in 2014. The reduction in public debt as a percent of GDP in 2014 was significantly larger than the 2.6 percentage point reduction recorded at the second review due mostly to stronger than anticipated growth. Public debt is now expected to decline to 76 percent of GDP by 2017, with the restructuring of debt noted above expected to contribute about 13.5 percentage points of the total reduction in public debt anticipated over 2014-2017.[2]

3. **Continued steadfast implementation of the programmed fiscal consolidation remains essential to put debt on a firm downward path.** This is expected to contribute over 8 percentage points to the improvement in the debt-to-GDP ratio. Improved debt dynamics would account for the remainder of the reduction over the program period. Completion of broader debt restructuring with all remaining creditors, including the Paris Club and domestic creditors, as well as continued fiscal prudence over the medium-term, will be needed to ensure a sustainable debt path. Public domestic debt is equivalent to about 34 percent of GDP and related vulnerabilities need to be monitored closely.

4. **The restructuring of Grenada's public external debt with private creditors has reduced the stock of external debt**. Combined with the programmed fiscal consolidation, the debt restructuring noted above is expected to reduce public external debt to 39.2 percent of GDP by 2020 (compared to 43.2 percent at the second review), from 66.9 percent of GDP in 2014. Nevertheless, the baseline scenario of the DSA update finds that the debt thresholds on the present value of the debt-to-GDP, debt-to-revenue, and debt-to-exports ratios are breached.[3] These breaches are relatively minor and temporary in nature, however, Grenada's external debt would

[1] This DSA update has been cleared by the World Bank.

[2] Including the completion of the restructuring of the US and EC dollar 2025 bonds and with Taiwan Province of China's export-import bank (Eximbank). See Annex II IMF Country Report No. 15/193 for additional detail.

[3] The Country Policy and Institutions Assessment (CPIA) ranks Grenada as a medium performer (the average CPIA in 2012–14 is 3.56).

remain "in distress" until all debt restructuring steps are completed and arrears to official creditors are cleared.

5. **Completion of the debt restructuring with private creditors holding the US and EC dollar commercial bonds will put public and external debt on a firm downward trajectory toward sustainability**. Broader restructuring of all public external debt remains critical to further reducing Grenada's risk of external debt distress.

Table AI: 1. Grenada: Public Debt Sustainability Framework, 2012-35

(In percent of GDP)

	Actual					Estimate	Projections									
	2012	2013	2014	Average 5/	Standard Deviation 5/	2015	2016	2017	2018	2019	2020	2021	2014-20 Average	2025	2035	2021-35 Average
Public sector debt 1/	103.3	106.7	100.5			90.2	85.8	76.0	71.6	67.2	62.9	58.6		55.0	55.0	
of which: foreign-currency denominated	67.6	70.0	66.9			60.8	59.4	51.1	47.1	43.1	39.2	36.0		36.5	43.7	
Change in public sector debt	2.6	3.4	-6.2			-10.3	-4.4	-9.8	-4.4	-4.4	-4.3	-4.3		0.0	0.0	
Identified debt-creating flows	1.0	2.0	-5.3			-10.5	-4.4	-9.8	-4.4	-4.4	-4.3	-4.3		0.0	0.0	
Primary deficit	2.5	3.9	1.1	2.4	1.9	-2.2	-3.5	-3.5	-3.5	-3.5	-3.5	-3.5	-3.3	0.7	0.9	0.3
Revenue and grants	20.8	20.9	24.5			23.9	22.9	23.7	23.8	23.8	23.8	23.8		23.8	23.8	
of which: grants	1.1	1.4	4.1			3.0	2.1	2.1	2.1	2.1	2.1	2.1		2.1	2.1	
Primary (noninterest) expenditure	23.3	24.8	25.6			21.7	19.4	20.2	20.3	20.4	20.4	20.4		24.6	24.7	
Automatic debt dynamics	0.7	-1.9	-4.6			-1.3	-0.9	-0.8	-1.0	-0.9	-0.9	-0.8		-0.7	-0.9	
Contribution from interest rate/growth differential	2.1	-1.1	-4.1			-0.9	-0.2	-0.4	-0.8	-0.8	-0.7	0.1		-0.5	-0.6	
of which: contribution from average real interest rate	1.0	1.3	1.7			2.4	2.0	1.6	1.1	1.0	0.9	1.6		0.9	0.7	
of which: contribution from real GDP growth	1.2	-2.4	-5.8			-3.3	-2.1	-2.0	-1.9	-1.7	-1.6	-1.5		-1.3	-1.3	
Contribution from real exchange rate depreciation	-1.4	-0.8	-0.5			-0.3	-0.8	-0.4	-0.2	-0.1	-0.1	-0.9		...	...	
Other identified debt-creating flows	-2.2	0.0	-1.9			-7.0	0.0	-5.5	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	-2.2	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other) 6/	0.0	0.0	-1.9			-5.9	0.0	-5.4	0.0	0.0	0.0	0.0		0.0	0.0	
Other	0.0	0.0	0.0			-1.1	0.0	-0.1	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	1.7	1.3	-0.9			0.2	0.1	0.0	0.0	0.0	0.1	-0.1		0.0	0.0	
Other Sustainability Indicators																
PV of public sector debt	...	...	84.8			74.0	68.2	59.4	54.9	50.4	46.2	41.8		35.1	36.1	
of which: foreign-currency denominated	...	...	51.2			44.6	41.8	34.5	30.4	26.3	22.5	19.3		16.6	24.8	
of which: external	...	...	51.2			44.6	41.8	34.5	30.4	26.3	22.5	19.3		16.6	24.8	
PV of contingent liabilities (not included in public sector debt)7/	...	...	...			0.2	...	...	...	...	...	...		...	...	
Gross financing need 2/	5.9	7.3	22.1			18.8	19.2	17.3	17.2	17.5	17.5	17.6		17.7	12.1	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	346.4			310.0	297.9	250.7	230.8	211.4	193.8	175.6		147.2	151.8	
PV of public sector debt-to-revenue ratio (in percent)	...	...	415.7			353.9	327.3	274.6	252.7	231.4	212.2	192.2		161.2	166.2	
of which: external 3/	...	...	251.1			213.2	200.4	159.5	140.0	120.8	103.4	88.6		76.1	114.2	
Debt service-to-revenue and grants ratio (in percent) 4/	16.4	15.9	85.8			87.9	98.8	87.7	87.1	88.1	88.2	88.3		71.4	47.1	
Debt service-to-revenue ratio (in percent) 4/	17.3	17.0	102.9			100.4	108.5	96.0	95.3	96.4	96.5	96.7		78.2	51.5	
Primary deficit that stabilizes the debt-to-GDP ratio	-1.0	1.7	4.5			1.1	0.8	0.6	0.8	0.8	0.7	0.7		0.6	0.9	
Key macroeconomic and fiscal assumptions																
Real GDP growth (in percent)	-1.2	2.3	5.7	1.7	5.6	3.4	2.4	2.4	2.5	2.5	2.5	2.5	2.6	2.5	2.5	2.5
Average nominal interest rate on forex debt (in percent)	2.7	2.6	3.0	2.0	0.6	3.2	3.4	3.3	2.9	2.9	2.8	2.8	3.1	2.8	2.8	2.8
Average real interest rate on domestic debt (in percent)	1.1	1.9	2.3	1.1	2.8	3.1	2.4	2.8	2.7	2.7	2.8	2.8	2.8	2.8	2.8	2.8
Real exchange rate depreciation (in percent, + indicates depreciation)	-2.0	-1.3	-0.7	-0.7	2.1	-0.5	...	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	3.9	2.9	2.4	2.7	2.4	1.5	2.5	2.5	2.5	2.5	2.5	2.5	2.3	2.5	2.5	2.5
Growth of real primary spending (deflated by GDP deflator, in percent)	-12.6	9.1	9.1	0.6	6.0	-12.5	-8.0	6.5	2.9	2.8	2.5	2.5	-1.0	2.6	2.5	3.9

Sources: Country authorities; and staff estimates and projections.

1/ Central government and central government guaranteed debt only.

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

6/ Debt relief includes savings from the restructuring agreement reached with Eximbank in 2014 and with the creditor committee representing the majority of creditors for Grenada's 2025 bonds in 2015.

7/ Includes severance costs associated with the restructuring of state-owned enterprises.

Table AI: 2. Grenada: External Debt Sustainability Framework, 2012-35

(In percent of GDP)

	Actual				Historical 6/ Average	Standard 6/ Deviation	Projections									
	2011	2012	2013	2014			2015	2016	2017	2018	2019	2020	2014-2020 Average	2025	2035	2021-2035 Average
External debt (nominal) 1/	**136.3**	**141.0**	**143.9**	**144.0**			**136.1**	**132.8**	**122.6**	**117.4**	**112.3**	**107.3**		**100.0**	**97.5**	
of which: public and publicly guaranteed (PPG)	69.0	67.6	70.0	66.9			60.8	59.4	51.1	47.1	43.1	39.2		36.5	43.7	
Change in external debt	12.9	4.6	2.9	0.1			-7.9	-3.3	-10.2	-5.2	-5.2	-5.0		0.0	-0.3	
Identified net debt-creating flows	16.9	13.5	2.7	0.2			2.0	0.6	1.4	1.8	1.6	1.7		4.1	2.7	
Non-interest current account deficit	**22.0**	**19.0**	**21.4**	**13.4**	**22.9**	**4.6**	**11.5**	**10.9**	**13.2**	**13.8**	**13.8**	**13.8**		**15.8**	**14.1**	15.3
Deficit in balance of goods and services	22.6	20.6	21.9	14.6			12.5	11.7	12.3	12.7	12.9	13.0		14.5	12.6	
Exports	28.2	28.9	28.5	28.9			28.8	29.0	30.1	30.3	30.6	30.8		31.6	34.3	
Imports	50.8	49.5	50.4	43.5			41.4	40.7	42.3	43.1	43.5	43.7		46.1	46.8	
Net current transfers (negative = inflow)	-3.1	-3.8	-2.2	-2.9	-4.7	2.8	-2.3	-2.3	-2.3	-2.2	-2.3	-2.3		-2.1	-1.7	-2.0
of which: official	-0.9	-1.4	-0.2	-1.1			-0.6	-0.6	-0.6	-0.6	-0.6	-0.6		-0.5	-0.4	
Other current account flows (negative = net inflow)	2.5	2.2	1.7	1.7			1.3	1.5	3.2	3.2	3.2	3.2		3.4	3.3	
Net FDI (negative = inflow)	**-5.5**	**-3.9**	**-13.4**	**-4.4**	**-10.8**	**5.5**	**-4.9**	**-5.9**	**-7.6**	**-7.6**	**-8.0**	**-8.0**		**-8.0**	**-8.0**	-8.0
Endogenous debt dynamics 2/	**0.4**	**-1.5**	**-5.3**	**-8.8**			**-4.6**	**-4.3**	**-4.2**	**-4.3**	**-4.2**	**-4.1**		**-3.7**	**-3.5**	
Contribution from nominal interest rate	1.6	2.1	1.9	2.1			2.2	2.2	2.0	1.6	1.5	1.3		1.1	1.2	
Contribution from real GDP growth	-0.9	1.5	-3.1	-7.6			-4.7	-3.1	-3.0	-2.9	-2.8	-2.7		-2.4	-2.3	
Contribution from price and exchange rate changes	-0.3	-5.2	-4.0	-3.4			...	...	...	...	...	...		...	...	
Residual (3-4) 3/	**-3.9**	**-8.9**	**0.3**	**-0.2**			**-9.8**	**-4.0**	**-11.6**	**-7.0**	**-6.8**	**-6.7**		**-4.1**	**-3.0**	
of which: exceptional financing	0.0	-0.2	-0.7	-3.4			-3.2	-2.6	-0.3	0.0	0.0	0.0		0.0	0.0	
debt restructuring	0.0	0.0	0.0	-1.9			-5.1	0.0	-4.7	0.0	0.0	0.0		0.0	0.0	
capital transfers							-5.5	-4.6	-6.4	-6.6	-6.7	-6.7		-2.1	-2.1	
PV of external debt 4/	...	...	...	128.3			119.9	115.2	106.0	100.7	95.5	90.6		80.0	78.7	
In percent of exports	...	...	...	443.4			416.1	397.2	352.7	332.0	312.1	294.6		253.0	229.6	
PV of PPG external debt	**...**	**...**	**...**	**51.2**			**44.6**	**41.8**	**34.5**	**30.4**	**26.3**	**22.5**		**16.6**	**24.8**	
In percent of exports	**...**	**...**	**...**	**177.0**			**154.6**	**144.1**	**114.8**	**100.2**	**85.9**	**73.2**		**52.4**	**72.5**	
In percent of government revenues	**...**	**...**	**...**	**251.1**			**213.2**	**200.4**	**159.5**	**140.0**	**120.8**	**103.4**		**76.1**	**114.2**	
Debt service-to-exports ratio (in percent)	**5.6**	**7.2**	**6.5**	**12.7**			**14.9**	**14.5**	**13.4**	**12.4**	**11.8**	**10.4**		**7.5**	**6.6**	
PPG debt service-to-exports ratio (in percent)	**4.4**	**6.4**	**5.9**	**12.1**			**14.3**	**13.9**	**12.8**	**11.8**	**11.2**	**9.8**		**7.0**	**6.4**	
PPG debt service-to-revenue ratio (in percent)	**6.1**	**9.4**	**8.6**	**17.1**			**19.7**	**19.4**	**17.8**	**16.5**	**15.8**	**13.9**		**10.2**	**10.0**	
Total gross financing need (Millions of U.S. dollars)	140.8	137.0	82.4	116.1			104.2	92.1	102.2	109.8	109.7	110.7		159.2	215.9	
Non-interest current account deficit that stabilizes debt ratio	9.0	14.3	18.4	13.4			19.4	14.2	23.4	18.9	19.0	18.8		15.8	14.5	
Key macroeconomic assumptions																
Real GDP growth (in percent)	0.8	-1.2	2.3	5.7	1.7	5.6	3.4	2.4	2.4	2.5	2.5	2.5	2.6	2.5	2.5	2.5
GDP deflator in US dollar terms (change in percent)	0.2	3.9	2.9	2.4	2.7	2.4	1.5	2.5	2.5	2.5	2.5	2.5	2.4	2.5	2.5	2.5
Effective interest rate (percent) 5/	1.3	1.6	1.4	1.6	1.9	0.6	1.6	1.7	1.6	1.4	1.3	1.2	1.4	1.1	1.3	1.2
Growth of exports of G&S (US dollar terms, in percent)	7.3	5.2	3.8	9.9	3.5	13.8	4.5	5.7	8.8	6.0	6.0	5.6	6.0	5.7	6.4	5.8
Growth of imports of G&S (US dollar terms, in percent)	4.2	0.0	7.2	-6.4	2.8	11.2	-0.3	3.2	9.2	7.0	6.0	5.7	5.8	5.2	5.2	5.6
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	...	37.8	38.7	38.8	37.4	37.4	38.6	36.9	29.7	29.7	29.7
Government revenues (excluding grants, in percent of GDP)	20.3	19.7	19.5	20.4			20.9	20.9	21.6	21.7	21.8	21.8		21.8	21.7	21.8
Aid flows (in Millions of US dollars) 7/	26.1	8.8	11.6	37.2			44.7	40.5	31.5	30.6	31.8	33.0		32.2	52.8	
of which: Grants	26.1	8.8	11.6	37.2			28.3	20.7	21.7	22.8	24.0	25.2		32.2	52.8	
of which: Concessional loans	0.0	0.0	0.0	0.0			16.4	19.8	9.8	7.8	7.8	7.8		0.0	0.0	
Memorandum items:																
Nominal GDP (Millions of US dollars)	778.6	799.9	842.4	911.8			957.2	1005.0	1054.8	1108.2	1164.3	1223.2		1565.4	2563.8	
Nominal dollar GDP growth	1.0	2.7	5.3	8.2			5.0	5.0	5.0	5.1	5.1	5.1	5.0	5.1	5.1	5.1
PV of PPG external debt (in Millions of US dollars)				467.1			426.6	419.9	364.0	336.7	306.1	275.2		259.3	637.8	
(PVt-PVt-1)/GDPt-1 (in percent)							-4.4	-0.7	-5.6	-2.6	-2.8	-2.7	-3.0	1.1	2.2	1.1
Gross workers' remittances (Millions of US dollars)	29.0	29.7	30.5	31.2			31.9	33.1	34.5	36.0	40.4	45.1		55.4	83.5	
PV of PPG external debt (in percent of GDP + remittances)		...	...	49.5			43.1	40.5	33.4	29.4	25.4	21.7		16.0	24.0	
PV of PPG external debt (in percent of exports + remittances)		...	...	158.3			138.6	129.4	103.6	90.5	77.2	65.3		47.1	66.2	
Debt service of PPG external debt (in percent of exports + remittances)		...	...	10.8			12.8	12.5	11.6	10.7	10.1	8.8		6.3	5.8	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Assumes that PV of private sector debt is equivalent to its face value.

5/ Current-year interest payments divided by previous period debt stock.

6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

7/ Defined as grants, concessional loans, and debt relief.

Table AI:3: Grenada: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2015-35

(In percent)

		Projections							
	2015	2016	2017	2018	2019	2020	2021	**2025**	2035
PV of debt-to GDP ratio									
Baseline	45	42	35	30	26	22	19	**17**	25
A. Alternative Scenarios									
A1. Key variables at their historical averages in 2015-2035 1/	45	47	45	45	46	46	46	**51**	74
A2. New public sector loans on less favorable terms in 2015-2035 2	45	42	35	31	27	23	20	**21**	36
B. Bound Tests									
B1. Real GDP growth at historical average minus one standard deviation in 2016-2017	45	45	39	35	30	26	22	**19**	28
B2. Export value growth at historical average minus one standard deviation in 2016-2017 3/	45	45	44	40	36	32	29	**23**	27
B3. US dollar GDP deflator at historical average minus one standard deviation in 2016-2017	45	43	36	32	27	23	20	**17**	26
B4. Net non-debt creating flows at historical average minus one standard deviation in 2016-2017 4/	45	42	37	33	29	25	22	**18**	25
B5. Combination of B1-B4 using one-half standard deviation shocks	45	44	42	37	33	28	25	**21**	28
B6. One-time 30 percent nominal depreciation relative to the baseline in 2016 5/	45	59	49	43	37	32	27	**23**	35
PV of debt-to-exports ratio									
Baseline	155	144	115	100	86	73	62	**52**	72
A. Alternative Scenarios									
A1. Key variables at their historical averages in 2015-2035 1/	155	163	149	149	149	151	149	**162**	215
A2. New public sector loans on less favorable terms in 2015-2035 2	155	146	116	102	89	75	65	**66**	104
B. Bound Tests									
B1. Real GDP growth at historical average minus one standard deviation in 2016-2017	155	144	115	100	86	73	62	**52**	73
B2. Export value growth at historical average minus one standard deviation in 2016-2017 3/	155	183	210	188	167	148	132	**105**	112
B3. US dollar GDP deflator at historical average minus one standard deviation in 2016-2017	155	144	115	100	86	73	62	**52**	73
B4. Net non-debt creating flows at historical average minus one standard deviation in 2016-2017 4/	155	147	123	109	94	81	70	**58**	74
B5. Combination of B1-B4 using one-half standard deviation shocks	155	157	156	138	120	104	91	**74**	92
B6. One-time 30 percent nominal depreciation relative to the baseline in 2016 5/	155	144	115	100	86	73	62	**52**	73
PV of debt-to-revenue ratio									
Baseline	213	200	160	140	121	103	89	**76**	114
A. Alternative Scenarios									
A1. Key variables at their historical averages in 2015-2035 1/	213	226	207	208	210	214	211	**235**	339
A2. New public sector loans on less favorable terms in 2015-2035 2	213	203	162	143	125	107	93	**96**	164
B. Bound Tests									
B1. Real GDP growth at historical average minus one standard deviation in 2016-2017	213	214	181	159	137	117	101	**87**	130
B2. Export value growth at historical average minus one standard deviation in 2016-2017 3/	213	216	204	184	165	147	131	**107**	124
B3. US dollar GDP deflator at historical average minus one standard deviation in 2016-2017	213	205	166	146	126	108	92	**79**	119
B4. Net non-debt creating flows at historical average minus one standard deviation in 2016-2017 4/	213	204	171	152	132	115	100	**84**	117
B5. Combination of B1-B4 using one-half standard deviation shocks	213	209	192	171	150	131	114	**96**	129
B6. One-time 30 percent nominal depreciation relative to the baseline in 2016 5/	213	283	226	198	171	146	125	**108**	162

Table AI:3: Grenada: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2015-35(Continued)

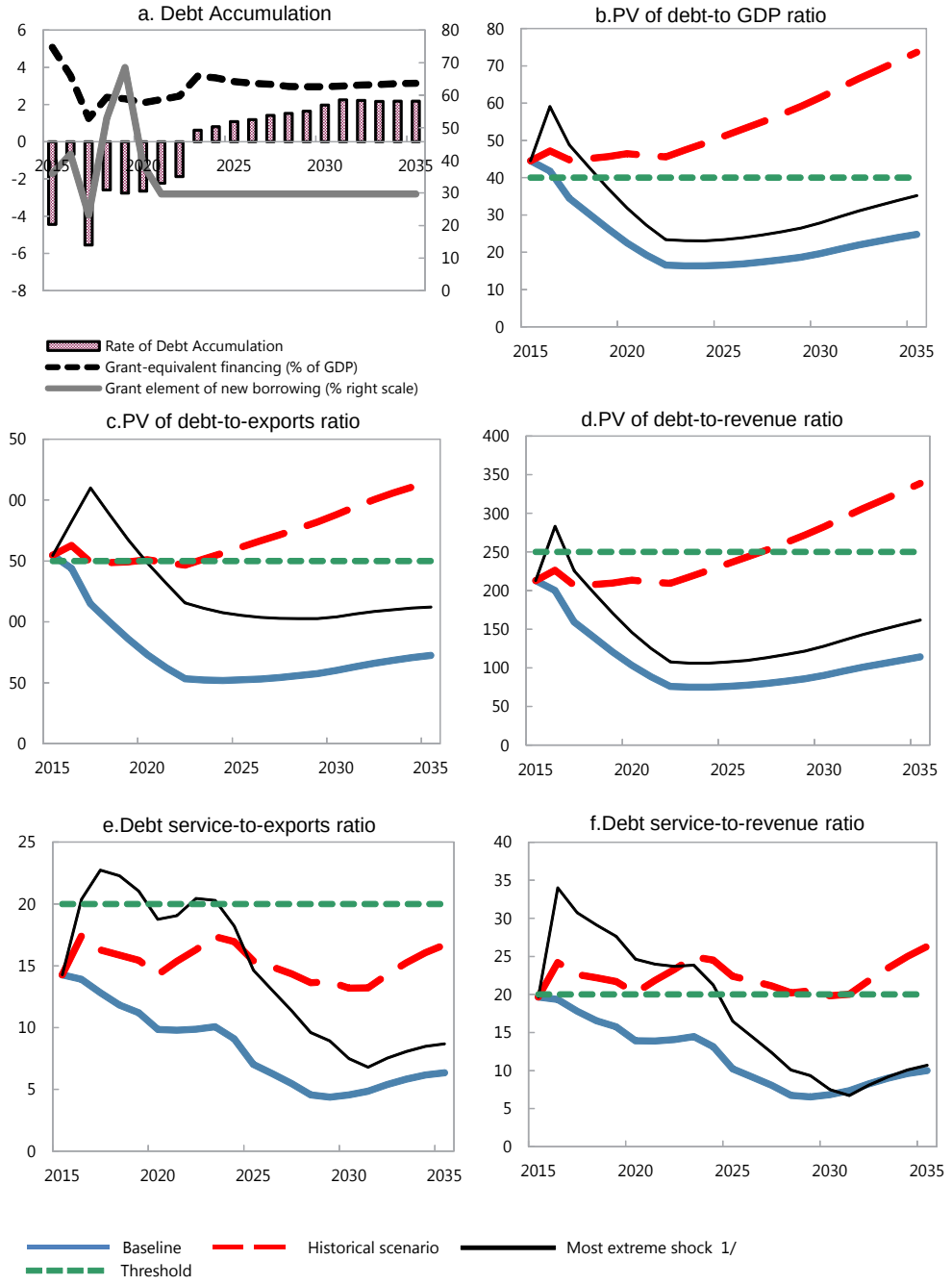
(In percent)

	Projections								
	2015	2016	2017	2018	2019	2020	2021	**2025**	2035
Debt service-to-exports ratio									
Baseline	14	14	13	12	11	10	10	**7**	6
A. Alternative Scenarios									
A1. Key variables at their historical averages in 2015-2035 1/	14	17	16	16	15	14	15	**15**	17
A2. New public sector loans on less favorable terms in 2015-2035 2	14	17	16	14	12	11	9	**7**	7
B. Bound Tests									
B1. Real GDP growth at historical average minus one standard deviation in 2016-2017	14	17	16	15	14	12	12	**8**	5
B2. Export value growth at historical average minus one standard deviation in 2016-2017 3/	14	20	23	22	21	19	19	**15**	9
B3. US dollar GDP deflator at historical average minus one standard deviation in 2016-2017	14	17	16	15	14	12	12	**8**	5
B4. Net non-debt creating flows at historical average minus one standard deviation in 2016-2017 4/	14	17	16	15	14	13	12	**9**	5
B5. Combination of B1-B4 using one-half standard deviation shocks	14	19	19	19	17	16	15	**11**	7
B6. One-time 30 percent nominal depreciation relative to the baseline in 2016 5/	14	17	16	15	14	12	12	**8**	5
Debt service-to-revenue ratio									
Baseline	20	19	18	17	16	14	14	**10**	10
A. Alternative Scenarios									
A1. Key variables at their historical averages in 2015-2035 1/	20	24	23	22	22	20	22	**22**	26
A2. New public sector loans on less favorable terms in 2015-2035 2	20	24	22	19	17	15	13	**10**	11
B. Bound Tests									
B1. Real GDP growth at historical average minus one standard deviation in 2016-2017	20	26	25	23	22	20	19	**13**	9
B2. Export value growth at historical average minus one standard deviation in 2016-2017 3/	20	24	22	22	21	19	19	**15**	10
B3. US dollar GDP deflator at historical average minus one standard deviation in 2016-2017	20	25	23	22	20	18	18	**12**	8
B4. Net non-debt creating flows at historical average minus one standard deviation in 2016-2017 4/	20	24	22	21	20	18	17	**13**	8
B5. Combination of B1-B4 using one-half standard deviation shocks	20	25	24	23	22	20	19	**14**	9
B6. One-time 30 percent nominal depreciation relative to the baseline in 2016 5/	20	34	31	29	28	25	24	**16**	11
Memorandum item:									
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	27	27	27	27	27	27	27	**27**	27

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline., while grace and maturity periods are the same as in the baseline.
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

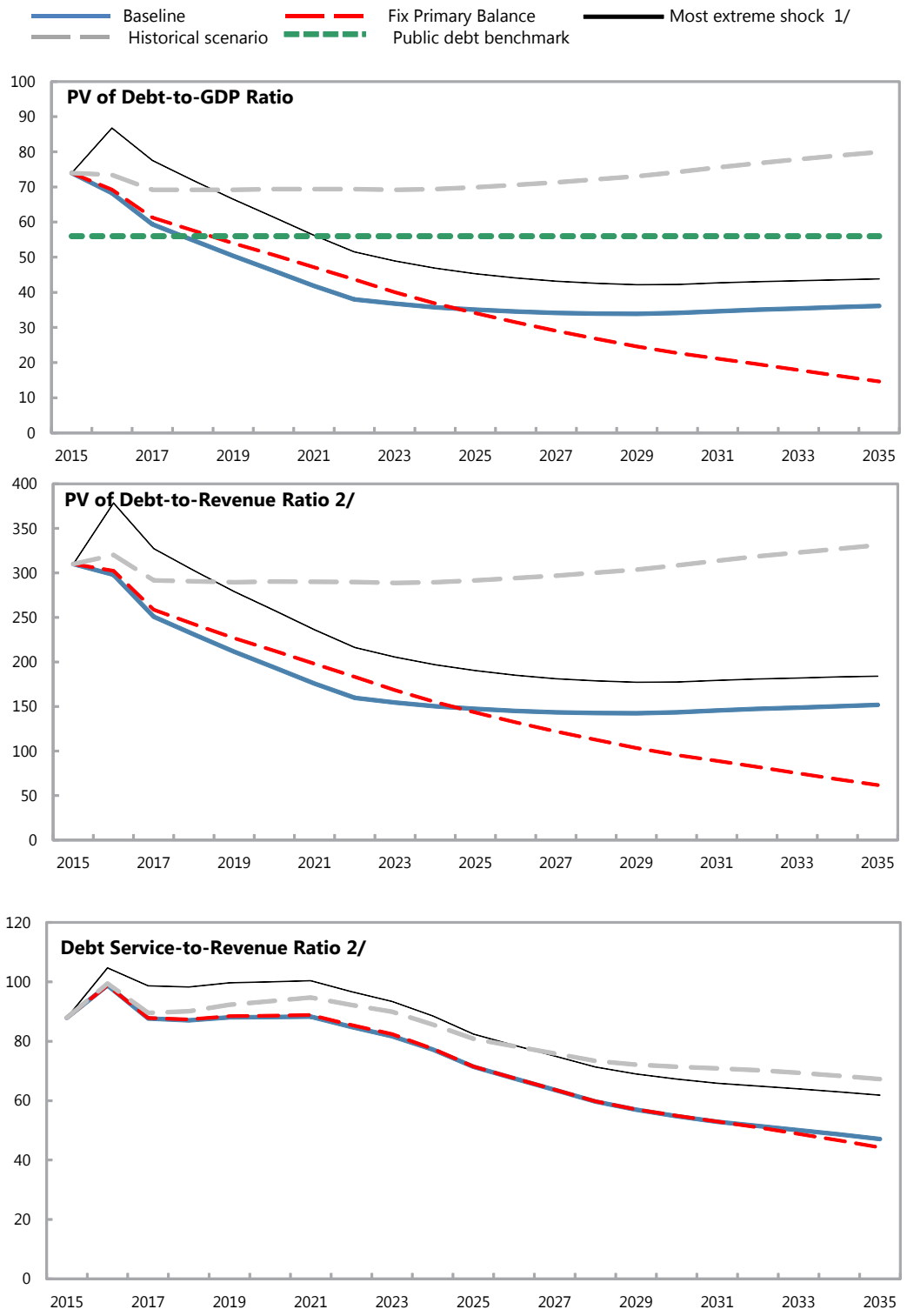
Figure AI: 1. Grenada: Indicators of Public and Publicly Guaranteed External Debt under Alternative Scenarios, 2015-35 1/



Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio on or before 2025. In figure b. it corresponds to a One-time depreciation shock; in c. to a Exports shock; in d. to a One-time depreciation shock; in e. to a Exports shock and in figure f. to a One-time depreciation shock

Figure AI:2: Grenada: Indicators of Public Debt under Alternative Scenarios, 2015-35 1/ 2/



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2025.
2/ Revenues are defined inclusive of grants.